

# ASICS Referral Program Analysis Report

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## 1. Introduction

In April 2018, ASICS Europe launched an online referral program to attract new customers. Existing customers could share a referral code, and when a new customer used it on their first purchase, the referrer received a €10 credit toward a future order. The goal was to turn existing customers into brand ambassadors, leveraging word-of-mouth marketing to drive sales.

ASICS needs data analysts to understand the effectiveness of the program. Specifically:

- Did it drive enough new sales to justify the cost of the referral credits?
- Did referred users behave differently than non-referred users?

This report analyzes real-world sales and user data from the campaign. The findings will help determine whether ASICS should continue, adjust, or discontinue the referral program.

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## 2. Total Consumer Spending by Country and Referral Status

The table below (PivotTable 1) summarizes total consumer spending by country, split between customers who used a referral code and those who did not.

| Country | Total Spending | No Referral (0) | Referral Used (1) |
|---------|----------------|-----------------|-------------------|
| France  | €378,622.00    | €124,603.00     | €254,019.00       |
| Germany | €215,258.00    | €66,767.00      | €148,491.00       |
| Italy   | €286,267.00    | €96,685.00      | €189,582.00       |
| Spain   | €253,936.00    | €83,956.00      | €169,980.00       |
| Total   | €1,134,083.00  | €372,011.00     | €762,072.00       |

**Interpretation:**

Referred customers spend significantly more than non-referred customers in every country, accounting for about two-thirds of total revenue. France leads with the highest total spending and the greatest contribution from referred users, indicating strong referral program performance there. This pattern is consistent across Germany, Italy, and Spain, suggesting the program’s effectiveness across multiple markets.

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**3. Average Money Spent Per Order by Country and Referral Status**

The average order value by country and referral status is shown below (PivotTable 2):

| Country | No Referral (0) | Referral Used (1) | Overall Average |
|---------|-----------------|-------------------|-----------------|
| France  | €44.74          | €44.95            | €44.88          |
| Germany | €46.46          | €46.99            | €46.83          |
| Italy   | €45.43          | €44.87            | €45.06          |
| Spain   | €45.33          | €45.41            | €45.39          |
| Overall | €45.36          | €45.42            | €45.40          |

**Interpretation:**

The difference in average spend per order between referral and non-referral users is minimal, with referral users spending just slightly more overall (€45.42 vs €45.36). Germany has the highest average order values for both groups. Interestingly, in Italy non-referral users spend marginally more per order, indicating some regional variation in behavior.

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**4. Orders and Revenue by Referral Status**

The following (PivotTable 3) summarizes total orders and total revenue by referral status:

| Referral Status | Total Money Spent | Number of Orders |
|-----------------|-------------------|------------------|
|-----------------|-------------------|------------------|

|                    |                      |               |
|--------------------|----------------------|---------------|
| No Referral (0)    | €372,011.00          | 8,202         |
| Referral Used (1)  | €762,072.00          | 16,779        |
| <b>Grand Total</b> | <b>€1,134,083.00</b> | <b>24,981</b> |

#### Interpretation:

Referral users placed roughly twice as many orders as non-referral users and generated about two-thirds of the total revenue. This highlights that the referral program drives a substantial share of the company's sales volume and revenue.

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## 5. User Distribution by Referral Status

From the Users table, the distribution of referral and non-referral users is:

| Referral Status   | Number of Customers |
|-------------------|---------------------|
| No Referral (0)   | 5,189               |
| Referral Used (1) | 9,140               |
| <b>Total</b>      | <b>14,329</b>       |

Referral users represent the majority of the customer base, demonstrating strong adoption of the referral program.

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## 6. Referral Program Costs

The company awarded a €10 credit for each new referral user. With 9,140 referral users, the total program cost was:

$$9,140 \times €10 = €91,400$$


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## 7. Purchase Frequency During Promotional Period

| User Type          | Average Purchases |
|--------------------|-------------------|
| Non-Referral Users | 1.58              |
| Referral Users     | 1.84              |

Referral users made more purchases on average, indicating higher engagement levels among customers acquired through referrals.

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## 8. Analysis of Referral Program Impact

The referral program demonstrates clear benefits:

- Referral users contribute disproportionately to revenue and order volume.
- They purchase more frequently during the promotional period.
- The average order value difference is minimal, suggesting the program's strength lies more in driving customer activity than increasing per-order spending.
- France shows the strongest referral-driven revenue, but the program performs well across all countries analyzed.

### Cost vs. Benefit:

With a total cost of €91,400 for referral credits, the program has driven over €762,000 in revenue from referred orders. Even without accounting for longer-term benefits like customer retention and brand advocacy, the program's direct revenue impact appears to justify its expense.

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## 9. Recommendations

- **Continue and optimize the referral program**, as it effectively increases purchase frequency and total revenue.

- Conduct further **lifetime value analysis** and **retention tracking** to quantify longer-term benefits.
  - Consider **A/B testing referral incentives** to balance program cost against acquisition quality.
  - Explore regional tailoring since some countries show different spending patterns.
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## 10. Conclusion

The referral program has positively influenced customer acquisition, purchase frequency, and revenue across multiple European markets. Given the strong performance and reasonable program costs, continuing and refining this program should be a priority for the company's growth strategy.